Shriram Finance Ltd (SHRIRAMFIN)

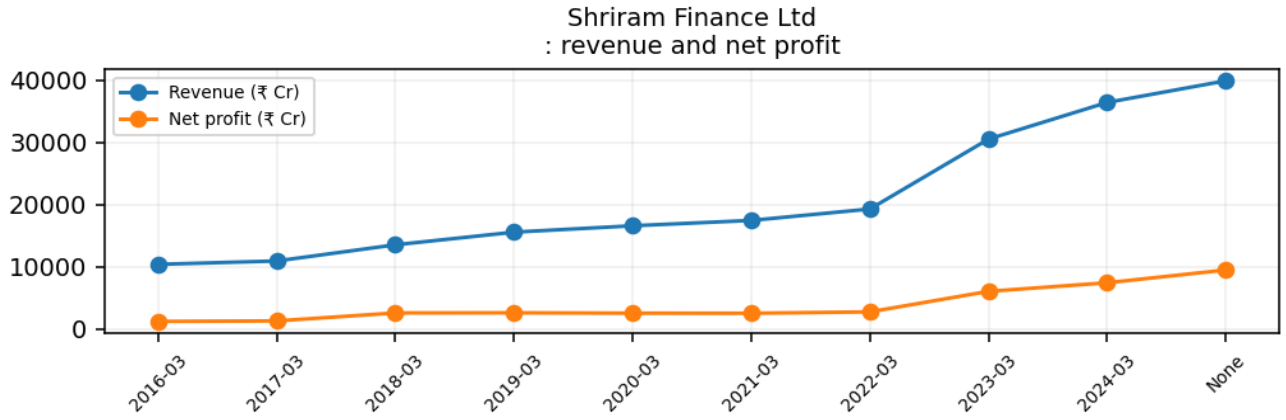
Sector: Financials | Financial year: 2024-03 | Market snapshot: 2024-03

Investment profile — data-led summary

Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

Metric	Latest value	Metric	Latest value
ROE	15.12%	ROCE	4.06%
Debt/equity	3.99	Free cash flow (■ Cr)	-31,359.00
P/E	68.53	P/B	7.91
Market cap (■ Cr)	868,933.47	Dividend yield	1.86%

Revenue and earnings history (up to 10 supplied annual observations)



All figures reflect the supplied source dataset. This report is informational and is not a recommendation to buy or sell securities.

Shriram Finance Ltd — Financial Quality & Risk Review

Strength indicators

Rule	Evidence	Confidence
Positive operating margin	The latest annual period reports a positive operating margin.	95%
PAT CAGR 5Y >= 10%	Profit has compounded at least 10% annually over five years in the available statement history.	94%
Revenue CAGR 5Y >= 10%	Revenue has compounded at least 10% annually over five years in the available statement history.	89%
ROE >= 15%	High return on equity indicates strong accounting returns on shareholder capital.	85%

Risk indicators

Rule	Evidence	Confidence
Negative free cash flow	The latest annual period reports negative free cash flow.	95%
FCF conversion < 0	Free-cash-flow conversion is negative in the latest annual ratio record.	95%
CFO/PAT < 0.5	Operating cash flow is weak relative to reported profit.	74%
ROCE below 8%	Return on capital is below 8% in the latest annual ratio record.	74%

Selected annual financial history

Year	Sales (■ Cr)	Net profit (■ Cr)	EPS	OPM %
2019-03	15536	2576	20.00	24.00
2020-03	16561	2512	20.00	22.00
2021-03	17422	2499	18.00	20.00
2022-03	19255	2721	20.00	19.00
2023-03	30492	6020	32.00	29.00
2024-03	36388	7399	39.00	29.00
None	39864	9454	50.00	29.00